

Truce extension shortened to press Beijing on magnets

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【メール原文】

On 23 September, Treasury Secretary Scott Bessent announced a two-month extension of the US-China export controls truce through 10 January 2027, below|||||||

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US-China

Shorter-than-expected truce extension unlikely to increase tensions. On 23 September, US Treasury Secretary Scott Bessent announced a two-month extension of the existing trade truce (suspending US and Chinese tariffs, export controls, and port fees) with China, through 10 January 2027.

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A further extension beyond January is our basecase. The two-month renewal is shorter than Beijing's reported preference for one to two years as well as the six-month extension the White House had previously wanted. Allowing the truce to lapse would restore suspended export controls, especially on rare earth products, that would have a more immediate effect on the US than on China, likely compelling new truce talks. Given US vulnerabilities and Beijing's preference for stability, particularly in advance of next year's Party Congress, neither government has an interest in renewed escalation.

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A shorter extension increases pressure on both sides to deliver near-term commitments. Washington is likely to seek greater progress on expedited Chinese approval of rare-earth export licenses for US end users, and it may also press Beijing to meet more of its commitments to purchase US agricultural exports as a condition for another extension. For its part, Beijing will likely expect the White House to maintain its current delay in arms sales to Taiwan through the new expiration date.

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Two more meetings between Presidents Xi Jinping and Donald Trump around APEC and the G20 are likely. Beyond another likely truce extension, Bessent has indicated that he will meet Vice Premier He Lifeng again in roughly two months to continue discussions on AI safety risks.

Taiwan

Trump will likely continue to delay arms sales to Taiwan. Xi told Trump on 24 September that he hopes the US would “maintain the correct stance of opposing ‘Taiwan independence’ and handle the Taiwan question carefully.” This alludes to Trump’s interview after the May summit in Beijing, in which he expressed aversion to Taiwan’s de jure independence. Secretary of State Marco Rubio said on 23 September that arms sales to Taiwan need to be balanced against constraints on US industrial capacity and military industrial base, suggesting further delays are likely.

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Trump will likely prioritize US-China stability over support for Taiwan. The arms sale delay will likely be extended at least through the end of the year. The US announcement of a two-month truce extension and the increased likelihood of two additional leaders’ meetings around APEC and the G20 support this assessment.

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In the post-summit interview in May, Trump said that he would hold the \$14 billion arms sales package “in abeyance” as a bargaining chip against China. The statement raised Beijing’s expectations. Chinese contacts say that Beijing now wants to extend the delay and is unlikely to tolerate even smaller, consecutive batches of arms sales to Taiwan.

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In December 2025, Beijing retaliated against an \$11 billion arms sale package to Taiwan with a two-day military exercise around Taiwan. Another major US sale of arms to Taiwan would likely trigger a similar military demonstration.

Economic Policy

Before the summit, Beijing offers yuan gains but keeps its grip on magnets. The yuan is at its strongest against the dollar since January 2023, at around 6.7, which could ease US concerns about undervaluation. But recent customs data suggest Beijing is keeping US buyers of rare-earth magnets on a tight leash. The latter issue is why Washington pushed for only a two-month extension to the truce.

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The central bank is allowing gradual appreciation partly as a pre-summit gesture, but concern for exporters will limit how fast it climbs. The onshore yuan touched 6.69 per dollar on 22 September, after the central bank strengthened its daily reference rate for the tenth consecutive day. The rise is largely market-driven, helped by a softer dollar, but the central bank has been working to slow appreciation this year.

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US buyers have been left out of China's magnet export recovery. In volume terms, January–August exports to the US were 17.4% below the same period of 2024, before the April 2025 controls, while exports elsewhere were 13.9% higher.

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Rare earths will be a sticking point at the summit. Trump will likely raise shipment delays, while Beijing will insist it applies its licensing procedures without discrimination. Preserving access to critical minerals was the main US aim of the Busan truce, and the White House sees a two-month extension as giving it more leverage to enforce it (see US-China section).

Foreign Policy

Xi's absence at UN General Assembly will undermine China's support for multilateralism. Vice President Han Zheng will lead China's delegation to UNGA this week, where he will likely deliver a speech to the general assembly on 25 September that calls for revitalizing the UN and increasing representation of Global South countries on the UN Security Council. However, Xi's decision to skip this year's event as part of his visit to the US—he has not appeared in person at UNGA since 2015—will weaken China's effort to reinvigorate the UN.

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In his address, Han will likely echo familiar themes rather than announce new initiatives. He will highlight the Global Development Initiative—announced virtually by Xi at UNGA five years ago—and contrast Beijing's professed support for multilateralism, free trade, and the UN charter with US unilateralism and disregard for international institutions.

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China will leverage its permanent seat on the UN Security Council to maintain pressure against Japan. Beijing has reversed its earlier support for removing Japan's designation as an "enemy state" in the UN charter—drafted at the end of World War II—amid Beijing's increased criticism of "re-militarization" in Japan.

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A largely ineffective UN Security Council suits Beijing's interests. China and Russia can block resolutions with which they disagree, while denouncing US efforts to work around the UN as illegitimate. Meanwhile, Beijing will continue to deepen cooperation with multilateral organizations in which it wields greater influence, such as the BRICS and Shanghai Cooperation Organization.

Politics

Xi puts house in order ahead of Fifth Plenum. On 21 September, the Politburo set the Fifth Plenum for 26-29 October and closed outstanding corruption cases for members of the Central Military Commission (CMC). Beijing also advanced six provincial leadership changes on 22 and 23 September and opened a new anti-corruption investigation tied to a senior official's network on 21 September. The moves are not coincidental: the party enters the plenum from a position of consolidation.

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The Politburo announced the expulsion of former CMC Vice Chairman Zhang Youxia and former Joint Chief of Staff Liu Zhenli, alleging serious violations of political discipline and disloyalty. Beijing officially placed the two senior military officials under investigation in late January. The expulsions conclude all outstanding corruption cases among CMC members, whose ranks have shrunk from seven to two. The reduction underscores how far the anti-corruption effort has reached into the military leadership. The plenum will formally ratify the expulsions.

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Former Shenzhen mayor Qin Weizhong is under investigation likely because he was part of former Politburo member Chen Xi's patronage network. Qin is not the first person in Chen's network to fall; investigations into Wei Xiaodong, a senior Beijing official, were opened in June. Chen, who oversaw personnel appointments in the party between 2017 and 2022, supported both Qin and Wei's career advancements. The two cases suggest that pressure on Chen's network will continue ahead of the congress and that his retirement in May was for political reasons (see: Beijing will hold back on stimulus despite low GDP growth , 16 July 2026)

Standing Calls

Standing Calls

Notes underpinning calls:

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Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026

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Beijing's growing confidence will heighten Taiwan risks after 2028 , 15 September 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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26-29 October: Fifth Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US-China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18-19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14-15 December: G20 leaders' summit in Miami

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